

Banks decide how much money they can give you based on a few rules:

- **Total Amount:** They usually lend you 3 to 5 times, and sometimes up to 6 times, the money you make in a year.
- **EMI:** Banks look at something called the FOIR, which stands for Fixed Obligation/Income Ratio. It's a way to figure out how much of your monthly income goes towards fixed obligations. Banks mostly only lend you upto a limit where your monthly total EMIs are 50% of the salary i.e a FOIR of 50%

$$\text{FOIR Ratio} = \frac{\text{Fixed Obligation}}{\text{Income}} \times 100$$

Suppose your monthly in hand income is ₹ 30,000, and your fixed monthly obligations, like car loan EMI is ₹ 7,500.

In this example:

$$\text{FOIR Ratio} = \frac{\text{₹ 7,500}}{\text{₹ 30,000}} \times 100$$

$$= 25\%$$

So, your FOIR is 25%. It means 25% of your monthly income is already committed to fixed obligations. If a bank follows a 50% FOIR limit, they may offer you a loan with an Equated Monthly Instalment (EMI) that doesn't exceed the remaining 25% of your income after considering fixed obligations.